

expect private capex to pick up in FY26, backed by strong balance sheets, declining interest rates, and improving consumption.

“With the RBI cutting repo rates by 100 bps and a 50 bps cash reserve ratio (CRR) cut expected to improve liquidity, the environment is ripe for the private capex to rise,” says Chadawar. “We could see an uptick in private capex over the next 12-18 months, driven by falling cost of capital, improving credit growth, economic momentum, and sound balance sheets. A pick-up could be visible once the uncertainty over the Trump tariff subsides.”

According to Jain, capacity utilisation for many manufacturing companies is currently around 75%. Unless this reaches above 80%, or there is a significant and broad-based recovery in private consumption, large-scale private capex is unlikely.

“From the second half of FY26, we could see a more meaningful recovery in overall consumption. This, in turn, should gradually lead to higher capacity utilisation and eventually trigger private capex—possibly by late FY26 or FY27—as rising demand justifies new investments,” he says.

The RBI’s surprise 50 bps rate cut in June 2025, combined with additional CRR cuts, has improved market sentiment. Analysts believe that liquidity is expected to remain strong, supporting credit growth, particularly in the second half of FY26. The Union Budget for FY26 also announced tax relief for the middle class and increased allocations for rural infrastructure and consumption-boosting schemes. The fiscal deficit target has been revised to 4.4% (from 4.8% earlier), indicating a balance between discipline and stimulus.

“The government is consciously shifting towards supporting the rural and middle-class economy to stimulate consumption. This is a key driver for sustaining the broader recovery,” says Chadawar.

ROAD AHEAD

While profitability remains, balance sheets are healthier and macro indicators, coupled with government at the Centre, point toward a supportive policy environment, challenges remain. The headwinds include global geopolitical uncertainty, crude oil price volatility, tariff concerns, and muted urban consumption.

“After a phase of consolidation in FY25, we expect FY26 to be a year of revival,” says Gopal Jain, Managing Partner, Gaja Capital. “Public capex is expected to drive FY26 GDP growth to 6.3-6.5%, though private investment revival remains crucial, and consumption



“Most of the capex is funded through internal accruals or equity issuance. Overall, the health of domestic corporates looks strong”

HITESH JAIN

Strategist, Institutional Equities Research, YES Securities



“With the world’s largest and youngest population and rising incomes, demand continues to grow across rural and urban markets”

RAHUL SINGH

CIO-Equities, Tata Mutual Fund

needs a boost. Manufacturing and construction look set for 8-10% earnings growth, supported by PLI schemes and government contracts.” Experts believe the earnings trajectory will improve in FY26. Financials, infrastructure, auto, and cement sectors are expected to lead the growth with double-digit earnings. Meanwhile, IT, FMCG, and pharma may post modest single-digit growth. In short, sectors driven by India’s domestic growth story are likely to be in a sweet spot in the coming year. **BT**

@iamrahuloberoi